Palantir books its first US$1 billion in quarterly sales and dodges Doge axe

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Shares of Palantir Technologies sailed past previous record highs on Tuesday after booking its first US$1 billion sales quarter and raising its performance expectations for the year.

The stock rose above US$170 on Tuesday after breaking previous records four times this year in the global artificial intelligence race. The previous closing high for the stock was set this week at US$160.66.

Since going public in 2020 when it posted a US$1.17 billion annual loss, the artificial intelligence software company has swung swiftly to a profit and sales are booming. Profit rose 33 per cent to US$327 million in the second quarter.

Its US$1 billion quarterly revenue haul was fuelled by a 53 per cent spike in government sales, despite massive spending cuts under President Donald Trump and his Department of Government Efficiency, once led by the world's richest man Elon Musk.

In this May 15, 2019, file photo, Palantir CEO Alex Karp arrives for the Tech for Good summit in Paris. Photo: AP

"Doge has had zero negative impact on Palantir's US government business, which achieved its fastest growth rate since the second quarter of 2021," wrote William Blair analysts Louie DiPalma and Bryce Sandberg.

"Palantir is clearly benefiting from AI industry momentum across its government and commercial customer bases."

The company also recorded a 93 per cent jump in business sales. Overall US revenue surged 68 per cent to US$733 million.

Late Monday, Palantir raised its annual revenue expectations to between US$4.14 billion and US$4.15 billion. It also raised its US commercial revenue guidance to more than US$1.3 billion, which would mean that Palantir achieved a growth rate of at least 85 per cent.

"This was a phenomenal quarter," CEO Alex Karp said in a statement accompanying the earnings release. "We continue to see the astonishing impact of AI leverage."

Karp believes AI will benefit everyone, saying during a call with industry analysts on Monday that Palantir is, "bullish on all aspects of American life, including and especially people in the blue collar".

He said Palantir wants to “arm the working class or blue collar workers with AI agency enhancing skills”, and said that the company will reach out to labour leaders to help familiarise workers with the technology.

“People with less than a college education are creating a lot value and sometimes more value than people with a college education using our product,” Karp said.

Palantir, headquartered in Denver, specialises in software platforms that pull together and analyse large amounts of data.